

The 9 Growth Stages

Question 1: At which growth stage does a business command a sizable market share and create a "barrier to entry" for any competing business?

Answer: The Maturity stage.

Key Point: The Maturity stage represents a point where market share is substantial and the business acts as a barrier to new entrants.

Question 2: What is the business equivalent of "resting for lunch" before attempting the "Devil's Toilet" rapid?

Answer: "Bank your profits" and improve your systems before setting off for glory.

Key Point: A high degree of complacency and fatigue can occur between the "lifestyle" and "leverage" stages; therefore, securing profits and systems is critical to surviving the pulling and sucking forces of this dangerous transition.

Question 3: What specific growth tactic corresponds to the "Design - Launch - Break-even" stages?

Answer: Growth through Enthusiasm & Creativity (Foundation).

Key Point: This foundational tactic is all about "pushing hard," keeping your head down, and achieving the momentum and subsequent learning necessary for early business survival.

Question 4: Which psychological error, known as a "Psyche Error," is associated with the "Intelligence" layer of complexity?

Answer: Optimism Bias.

Key Point: Optimism bias is the attempt to avoid noticing what you don't know, characterized by a tendency to delete negative information to support existing beliefs and secure attachments.

Question 5: How is "Replication" defined within the context of Growth Stage Fundamentals?

Answer: Replication is the ability for a team member to do ALL of a task, or the ability to automate or reproduce an item with relative ease.

Key Point: Mastering delegation, replication, and quantification allows a business owner to dissect activities and magnify value, which is the core mechanism to achieve Leverage.

Question 6: How is "Average Customer Spend" calculated according to the 8 Profit Levers?

Answer: Total Sales Value divided by Total Number of Transactions.

Key Point: Knowing specific financial formulas is essential for understanding your revenue drivers; Average Customer Spend multiplied by Average Customer Frequency and the Number of Customers equals Total Revenue.

Question 7: What psychological phenomenon occurs when someone focuses on the loss of investment to-date rather than the probable future outcome?

Answer: The Sunk Cost Fallacy (sometimes known as the "Gambler's Archipelago").

Key Point: Understanding supplementary psychological phenomena is vital, as business owners can fall into the trap of thinking "If I can just get to spot x, I can fix things from there" instead of making objective choices.

Question 8: What holds a business owner back during the "Leverage" stage?

Answer: Lack of faith in Key Staff (poor delegation/visibility) or a reluctance to "let go" of a business model built around a specialist service provider.

Key Point: Without properly ingrained governance and delegation protocols, an owner will remain overly reliant on themselves, failing to reach a stage where the business can sustain them hands-off.

Question 9: Within the 9 Growth Aspects, which aspect deals with values (cultural), marketing (outbound messaging), aesthetics, and the "vibe/morale"?

Answer: Authenticity.

Key Point: Maintaining balanced growth means managing nine distinct operational aspects; Authenticity ensures that the internal culture and external messaging remain cohesive at every stage.

Question 10: What psychological driver is largely responsible for Confirmation Bias?

Answer: Cognitive Dissonance.

Key Point: When a business owner's reality is not aligned with their desires, they search for shared views to avoid anxiety, which suppresses their growing fears but leads to repeating the same mistakes.

Lite Fundamentals Components

Question 11: What are the three primary organizational pillars of the Lite Fundamentals Components?

Answer: Get Organised, Get the Job, Do the Job.

Key Point: Structuring a business requires breaking down operations into manageable phases: organizing foundations, acquiring clients, and delivering the service or product.

Question 12: Which two specific components fall under the "Get Organised" pillar?

Answer: Planning and Data.

Key Point: Proper organization stems from "Lite Planning" (aligning owner expectations) and "Lite Data" (knowing what matters).

Question 13: Which two specific components make up the "Get the Job" pillar?

Answer: Marketing and Selling.

Key Point: Client acquisition requires identifying who you want to speak to (Marketing) and successfully winning their business (Sales).

Question 14: Which two specific components define the "Do the Job" pillar?

Answer: People and Process.

Key Point: Execution relies on getting the most out of your workforce (People) and continuously making operational improvements (Process).

Question 15: How is a "System" defined within the Lite Fundamentals Framework?

Answer: "A set of things working together as parts of a mechanism or an interconnecting network; a complex whole."

Key Point: Business functions act as systems requiring distinct inputs to generate measurable, successful outputs.

Question 16: What are three key elements tracked or prioritized within the Marketing component? **Answer:** Client Segmentation, Focused messaging, Brand recognition, and Market Analytics.

Key Point: Marketing cannot be generalized; it requires clear identification of the target audience and analytics to confirm understanding and allocate resources effectively.

Question 17: What metrics are generated as "Outputs" from the Sales system? **Answer:** # of Sales, Avg' Sale Value, Repeat Purchases, Conversion ratios, and Shortened sales time.

Key Point: Measuring these exact ratios and figures determines the efficiency of transforming marketing leads into actual revenue.

Question 18: What is the primary focus of "Lite Planning"?

Answer: Aligning Owner Expectations with the Business Model.

Key Point: Strategic success requires the owner's personal desires and orientation to match the reality of the business's structure and scale.

Question 19: What is the core goal of the "Lite Process" component?

Answer: Making Improvements, Step by Step.

Key Point: Process management is dedicated to people effectiveness, reliability, systems interdependency, and incremental business improvements to ensure quality delivery.

Question 20: Name three areas of focus categorized under the "People" component.

Answer: Staff engagement, Staff proximity/locations, Skills development, Leadership/Morale, Internal communication, or Staffing numbers/divisions.

Key Point: Managing people effectively goes beyond hiring; it encompasses cultural, communicative, and developmental tracking to maximize human output.

Revealing the Growth Curve Freehand

Question 21: What three stages comprise the first "3 x 3 Chunk"?

Answer: Design – Launch – Breakeven.

Key Point: Grouping the stages into three distinct chunks makes the overall growth curve easier to communicate and helps the client visualize the journey in manageable segments.

Question 22: What three stages comprise the final "3 x 3 Chunk"?

Answer: Leapfrog – Maturity – Exit/Decline.

Key Point: The final chunk of the curve focuses on highly advanced business stages, addressing alliances, scaling, and ultimate succession or realization.

Question 23: When following the "Reveal Format," what question should you ask the client immediately after explaining the Devil's Toilet and the Split Point?

Answer: Ask them where they think they 'sit' on the curve.

Key Point: Asking for self-placement forces the client to internalize the framework and actively reflect on their current business standing.

Question 24: Once a client states where they believe they sit on the curve, how should you test their understanding?

Answer: By asking "WHAT makes you say that?".

Key Point: Challenging their self-assessment ensures they actually understand the definitions of the stages rather than just guessing.

Question 25: Towards the end of the "Reveal Format," what forward-looking question must the advisor ask the client?

Answer: "Where do you WANT to be on the curve and by WHEN?".

Key Point: This establishes the operational objective and timeframe, creating a foundation for future planning and advisory services.

Question 26: What are the three steps required for Growth Curve Facilitation?

Answer: 1. Global Positioning of the Growth Curve, 2. Reveal the Growth Curve via a Persona, 3. Create (Client) Relevance to the Curve.

Key Point: A structured facilitation process guarantees that the concept is introduced safely, understood objectively, and finally applied personally by the client.

Question 27: Why is it necessary to use a "Persona" when revealing the Growth Curve?

Answer: It creates dissociation to avoid judgment/assessment before the concept is understood, allowing the facilitator to stay in the 3rd person and use humor.

Key Point: Personas reduce complex jargon and increase memory retention while overcoming the stereotype of accountants being strictly logical and boring.

Question 28: Who is the specific persona character used as an example in the Global Positioning script?

Answer: Bob the Chocolate maker.

Key Point: Using a fictional, easy-to-understand character like Bob allows the client to observe the business journey objectively without feeling defensive.

Question 29: According to the script example, why do advisors use the Growth Curve framework with clients?

Answer: Because it highlights the types of issues business owners can expect to encounter BEFORE they have to cope, making them better prepared and more successful.

Key Point: The value of the framework lies in predictive preparation—solving problems before they cause business failure.

Question 30: What added benefit does storytelling provide during client meetings?

Answer: It creates a different 'feel' in the meetings, making clients WANT to spend more time with you.

Key Point: Soft skills and narrative delivery are essential in overcoming industry stereotypes and building stronger, more engaging client relationships.

Growth Fundamentals Framework Philosophy

Question 31: What three questions must be answered to determine if "Fundamentals" are truly present before a business takes new growth steps?

Answer: Do we truly understand it?, do we do it consistently?, and are we doing it well? (Have we mastered it?).

Key Point: Human nature pushes toward the "new and fresh," but genuine business growth relies on mastering robust foundations before expanding.

Question 32: What biological or scientific state must occur before organizational expansion can happen?

Answer: A period of dormancy, or homeostasis, where the organism must 're-group' expending energy in pursuit of gain.

Key Point: The growth curve mimics a 'Sigmoid-type/Sine Wave-type' regenerative cycle; growth only emerges AFTER proper conditions and sustenance are present.

Question 33: How is a "Framework" defined within this methodology?

Answer: The Designed Structure that guides future actions or form.

Key Point: Frameworks are critical because they help capture the thinking, observation, reflections, and actions of those striving for business excellence.

Question 34: What is the primary psychological function the Framework performs for the client?

Answer: It Creates Self Relevance.

Key Point: Self relevance is critical for both learning the material and developing the inner motivation to want to act on it.

Question 35: How does the Framework establish "Context" for the client?

Answer: By creating recognition of 'where you are' based on knowing 'where you've come from' and 'where you're headed'.

Key Point: A client cannot navigate future growth without contextualizing their current position against their past history and future goals.

Question 36: In the Psyche Error fables, which story is used to illustrate Confirmation Bias?

Answer: The Bear and the Salmon.

Key Point: The bear ignored reality and maintained his belief that the salmon would come at dusk, illustrating how individuals suppress truth that misaligns with their desires.

Question 37: Which fable character demonstrates the error of Complacency by failing to prepare for winter?

Answer: Barney the Badger.

Key Point: Past success doesn't guarantee future security; resting on perceived security leads to a depletion of reserves when conditions change.

Question 38: What is the moral of the fable "The Sparrow and the Hawk" (Role Identification)?

Answer: True role identification involves recognizing and embracing one's own strengths and limitations, rather than adopting a persona that doesn't authentically reflect one's capabilities.

Key Point: Mimicking an aspirational figure or "acting like a boss" leads to poor decision-making and an inability to find balance between authenticity and situational demands.

Question 39: What is the primary difference in audience and complexity between the 'Full' Growth Fundamentals Framework and the 'Lite' Fundamentals Framework?

Answer: The 'Full' version is comprehensive, requires considerable effort/time (~10 hours), and targets larger, complex businesses. The 'Lite' version limits the scope of engagement to reduce the sales process to just 1 meeting for clients who cannot afford the full suite.

Key Point: While both are based on the same contextual theory, the Lite version limits scope to build client confidence over time before introducing heavier holistic tools.

Question 40: What are the three distinct divisions or phases tracked in the Life/Design-to-Breakeven business focus areas?

Answer: Get Organised, Get the Job, Do the Job.

Key Point: Practicing business fundamentals at the earliest stages requires breaking management and operational systems down into these three foundational action categories.